

hub, most of the work we do is simulations. From designing to testing and dry runs—everything is simulated. During the lockdowns we had engaged with consumers to get a sense of their changing behaviour, provided the info to [our] innovation funnel and have come up with products based [on] their needs. So the entire process of getting a sense of the consumer's mind, changing behaviour and emerging demands to placing the products on the shelf—we are creating a very intelligent ecosystem. This also helps decision-making. Be it our pricing strategy across SKUs [stock-keeping units], whether to invest in channel distribution or promotion and in which media, [all this is] based on machine learning.

Q: Now, one of the hottest FMCG segments is branded kitchen commodities, where HUL does not have much influence. Why is it so?

A: We would not like to play everywhere. We prefer business segments where we can create more value for our customers and for ourselves. We would like to play in value-added products rather than in commodities. Yes, our commodities business is very small but that's not an area of focus for us. I would rather spend my resources in improving our nutrition portfolio—on the different product ranges in the segment, analysing and solving problems of nutritional needs and vitamin deficiency—than trying to sell packaged commodities.

Q: Does HUL want to ramp up its game with the Horlicks brand?

A: There are categories we play in, like detergents or oral care, [which] are universally penetrated. But in a category like health food drinks, which is represented by Horlicks, the penetration level is only 25 per cent. We have got massive room to increase penetration of these products; and sustainably grow those at a very high rate for the years to come.

Q: What are the value-added segments you are focussing on?

A: In highly penetrated categories like basic home care and hygiene, the game is all about upgrading the consumer. In categories like dish-wash bars and liquids or surface cleaners, massive opportunities lie ahead.

ON COMPETITION

Competitors are good for consumers and they are good for a company like HUL—because they bring the best out of us. Competitors keep us on our toes.

ON TALENT

When we go to the IIMs, we recruit the best talent. Then we have rigorous programmes to sharpen them. That's why we maintain the tag of being 'the CEO factory'.

ON THE FMCG MARKET

The per capita consumption of FMCG products in India is about 40 tonnes, which is half the average for Asia, one-third of China's and in comparison to the Philippines it, is one-fourth. So, the headroom to grow is massive.

ON HEALTH FOOD DRINKS

In health food drinks like Horlicks, the penetration is 25%. We have massive room to not only increase penetration, but to also sustainably grow the segment at a fast clip.

In beauty, which is a very big segment, we are by far the largest player and our nearest competitor is probably a fifth of us. Be it skin or hair care, all these are massive business opportunities, where we dominate. In refreshments—tea and coffee for us—converting consumers from unbranded to branded and higher value products will drive growth. Apart from health food drinks, we are focussing on packaged foods through brands like Kissan, Hellmann's and have launched several products in the ready-to-eat segment. That is where, I believe, we can move further up the value chain.

Q: HUL is a major revenue contributor for parent Unilever. What are the expectations and pressure you face?

A: We are part of one of the fastest growing major economies, where we are the largest FMCG player. Therefore, the expectations are always very high. HUL is very unique in that sense. We are a provider of talent to the global unit and we have a large market cap. For Unilever, we are the largest company in volume terms and the second largest in value terms. I will not be surprised if in a few years we become the largest in terms of value for the global entity. So, we are the crown jewel of Unilever. While we are a major provider for them, we take a lot—in terms of R&D, global brands and technology—from them.

In the past 10 years, we have managed to live up to those high expectations. With size, with stature come responsibilities. I think, we have always ensured that we don't let Unilever down.

Q: Are you interested in taking advantage of the government's PLI scheme that calls for creating global food processing giants out of India?

A: Yes, we are. The PLI scheme is a very good initiative because it helps you to compete on the most critical dimension—that is cost—by mitigating it through scale. We have already applied under the scheme and we are on to it. I hope that the government extends the PLI scheme into health food drinks. **BT**

Following a restructuring, Mehta will be CEO & MD, HUL, from March 31.

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